Report to Shareholders
Management's Discussion and Analysis

Financial Overview

Sales for the second quarter decreased 0.3% to $435.9 million compared to $437.4 million in the same period last year due primarily to a moderate change in mix from specialty to staple products and lower volumes in the U.S. and U.K. On a year-to-date basis, sales increased 3.5% compared to the first six months of 2008, mostly driven by price increases implemented during 2008, a weaker Canadian dollar and the acquisition of the Martel business in the first quarter of 2008.

Earnings from operations before restructuring and other related costs and other income ("Adjusted Operating Earnings") increased to $33.1 million for the quarter from $12.4 million last year and increased to $54.5 million in the first six months of 2009 compared to $31.9 million last year. Margins in the North American bakeries improved due to declines in commodity prices, most notably wheat and fuel. By comparison, Adjusted Operating Earnings in the second quarter of 2008 were exceptionally low due to sharp spikes in wheat, dairy and fuel costs which severely impacted profitability. Earnings in the U.K. bakery were largely consistent with last year as improved margins due to restored bagel sales and lower input costs were offset by higher marketing and promotional spend.

Basic Earnings per Share adjusted for the impact of restructuring and other related costs ("Adjusted EPS") increased to $0.89 for the quarter (2008: $0.30) and to $1.49 for the first six months of 2009 (2008: $0.81). Following is a summary of Adjusted EPS:

	Second Quarter		Year-to-Date	
	2009	2008	**2009**	2008
Basic EPS	**$ 0.89**	$ 0.26	**$ 1.47**	$ 0.74
Restructuring and other related costs [(i)]	**$ —**	$ 0.04	**$ 0.02**	$ 0.08
Adjusted EPS [(ii) (iii)]	**$ 0.89**	$ 0.30	**$ 1.49**	$ 0.81

(i) *Includes impact of restructuring and other related costs, net of tax.*
(ii) *Not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*
(iii) *Does not add due to rouding.*

Economic Downturn

The current economic downturn has the potential to impact the Company's financial results positively or negatively depending on consumer behaviour and the effects on commodity prices. For example, there is a risk that consumers may trade down in their purchases from higher margin specialty products to lower margin staple products and the Company may experience an overall volume and margin decline. On the other hand, there has been a recent trend among consumers to eat more meals at home, which could benefit the Company as its sales are more weighted towards retail. Although Canada Bread has experienced some decline in the sales of specialty items in its U.K. and U.S. bakery operations that can be partly attributed to the difficult economic environment, Management is currently not able to predict whether the economic downturn will have a material effect on the Company's results of operations in future periods.

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

	Second Quarter			Year-to-Date		
($ millions)	**2009**	2008	Change	**2009**	2008	Change
Fresh Bakery	**$ 25.4**	$ 12.5	103.7%	**$ 38.2**	$ 25.1	51.9%
Frozen Bakery	**7.8**	(0.1)	n/a	**16.3**	6.8	139.8%
Adjusted Operating Earnings [(i)]	**$ 33.1**	$ 12.4	167.3%	**$ 54.5**	$ 31.9	70.6%

(i) *Does not add due to rounding.*

Fresh Bakery *(Fresh Bakery products, sweet goods, sandwiches, and specialty fresh pasta and sauces)*

Fresh Bakery sales in the second quarter increased 0.9% to $290.3 million compared to $287.6 million in the same period last year, mainly driven by stronger retail sales. On a year-to-date basis, sales increased 5.4% to $553.3 million compared to the first six months of 2008 driven by pricing actions implemented in 2008, better product mix and the acquisition of the Martel business in early 2008.

Adjusted Operating Earnings in the second quarter increased to $25.4 million compared to $12.5 million last year. Margins substantially improved in the second quarter of 2009 mostly driven by the decline in commodity input costs, notably wheat and fuel, although partly mitigated by a weaker Canadian dollar which increases the cost of U.S. dollar priced flour and other ingredients. By comparison, Adjusted Operating Earnings in the second quarter of 2008 were particularly low due to unprecedented increases in commodity prices. In addition to these drivers, prior year price increases also conributed to increased earnings in the first six months of 2009.

In the second quarter of 2009, marketing and promotional spend in the Fresh Bakery operations was lower than last year, due to high marketing expenses in 2008 to support the national launch of *Smart* 100% Whole Grain Wheat bread. On a year-to-date basis, investments remain ahead of the first six months of 2008 driven by the launch of Healthy Way® with ProCardio Recipe™ breads and fresh squares in the first quarter of 2009.

Frozen Bakery *(North American and U.K. frozen bakery products, including frozen par-baked and specialty bakery products)*

Frozen Bakery sales for the quarter decreased by 2.8% to $145.7 million from $149.8 million in the same period last year due primarily to a moderate change in mix from specialty to staple products and lower volumes. On a year-to-date basis, sales remain flat compared to last year.

Adjusted Operating Earnings in the second quarter increased to $7.8 million compared to a loss of $0.1 million last year. Margins in the North American frozen bakery operations improved as commodity prices such as wheat and fuel declined from their unprecedented high levels in the second quarter last year. In addition, lower distribution costs and a reduced overhead base resulting from the closure of the Toronto bagel facility in late 2008 also contributed to higher earnings in the quarter. On a year-to-date basis, improved earnings were driven by pricing actions implemented in the first half of 2008, lower input costs and operational efficiencies.

Earnings in the U.K. bakery operations were largely consistent with last year on a second quarter and year-to-date basis. While increased bagel sales contributed to improved margins along with lower input costs such as flour and butter, the benefit was offset by higher marketing and promotional spending to drive market growth in bagels. During the quarter, bagel demand was restored to historical levels, while a new bagel oven at the Rotherham plant continued to build to capacity. The Company received insurance proceeds of $0.8 million (recorded in other income) in the second quarter of 2009 ($1.7 million in the

second quarter of 2008), and $2.5 million year-to-date, to cover business interruption losses and operating impacts resulting from the oven fire in 2008. No further material insurance proceeds are anticipated in 2009 in respect of this event.

Gross Margin

Gross margin increased to 19.6% in the quarter from 14.6% in the second quarter of 2008 and reached 19.0% in the first six months of 2009 compared to 15.8% in the first half of 2008. Margin improvements in the quarter were driven by the decline in commodity prices.

Selling General & Administrative Expenses

Selling, general and administrative expenses increased by 1.1% to $52.2 million compared to $51.6 million in the second quarter of 2008. Marketing and promotional expenses in the U.K. Bakery in the second quarter reflected a more normalized level after these expenses were scaled back last year due to production constraints. These increases were offset by the timing of product launches in the Fresh Bakery.

Marketing expenses in the first six months of 2009 are higher than last year, mostly driven by the launch of Healthy Way® with ProCardio Recipe™ breads and fresh squares in early 2009.

Restructuring and Other Related Costs

During the second quarter of 2009, the Company recorded a charge for restructuring and other related costs of $0.1 million ($0.1 million after tax) compared to $1.4 million in the second quarter of 2008 ($1.0 million after tax). On a year-to-date basis, restructuring and other related costs were $0.7 million ($0.5 million after tax) compared to $2.7 million ($1.9 million after tax) in the first six months of 2008. 2009 restructuring and other related costs were incurred following the closure and decommissioning of a bagel facility in Toronto, Ontario, and a small bakery operation in the U.K. late in 2008.

Other Income

Other income was $0.8 million in the quarter (2008: $1.5 million) and $2.5 million year-to-date (2008: $1.6 million), primarily comprised of insurance proceeds received to cover business interruption losses resulting from the oven fire at the U.K. bakery in 2008.

Taxes

On a year-to-date basis, the Company's effective tax rate decreased to 29.5% from 30.4% in the same period last year, primarily due to the benefit of earnings attributed to jurisdictions with different tax rates and the change in restructuring and other related costs during the period.

Cash Flow and Financing

Total debt, net of cash balances, was $3.4 million at the end of the second quarter, compared to $11.8 million as at March 31, 2009 and $92.2 million at the end of the second quarter of 2008. The decrease in debt during the quarter was principally due to higher income from operations offset by investment in property and equipment.

Cash flow from operating activities increased to $27.6 million for the second quarter compared to $13.2 million in the prior year period, as the result of an increase in net earnings compared to the same period last year. Year-to-date cash flow from operating activities was $34.7 million compared to $13.8 million last year.

Historically, the Company generates a significant amount of operating cash flow that has adequately covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

At June 30 2009, the Company and its subsidiaries had aggregate credit facilities of $291.1 million (2008: $291.3 million), of which $35.3 million (2008: $117.2 million) was utilized, including $8.7 million in respect of letters of credit (2008: $8.7 million). The Company's principal facility is subject to certain financial covenants. As at June 30, 2009, the Company was in compliance with all of its financial covenants.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program. In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. This allowance is based on specific losses estimated on individually significant exposures. Based on the above assumptions, as at June 30, 2009, the Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Interest expense for the second quarter decreased to $1.8 million compared to $2.1 million last year. The variance was a result of lower average debt balances and floating interest rates compared to the previous year. Year-to-date interest expense was $3.3 million compared to $3.8 million last year. During the quarter the Company settled its obligation under two interest rate swaps with Maple Leaf Foods Inc. for net proceeds of $8.5 million. The cumulative hedging loss on the swap which has been deferred in other comprehensive income will be amortized to interest expense over the next five years.

Capital expenditures on plant and equipment for the second quarter were $9.5 million compared to $17.2 million last year. Capital investment was higher in the prior year as it included the expansion of the bagel production capacity in the North American Frozen Bakery operations and network consolidation in the Fresh Bakery operations.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the six interim periods ended June 30, 2009 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter
Sales	**2009**	**$ 413,125**	**$ 435,918**		
	2008	$ 382,869	$ 437,418	$ 443,086	$ 444,957
Net earnings	**2009**	**$ 14,882**	**$ 22,537**		
	2008	$ 12,211	$ 6,538	$ 19,727	$ 26,460
Earnings per share					
Basic and diluted EPS	**2009**	**$ 0.59**	**$ 0.89**		
	2008	$ 0.48	$ 0.26	$ 0.77	$ 1.04
Adjusted EPS [(i)]	**2009**	**$ 0.60**	**$ 0.89**		
	2008	$ 0.52	$ 0.30	$ 0.93	$ 1.13

(i) *Basic earnings per share adjusted for the impact of restructuring and other related costs.*

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods, did not have a material impact on the Company's financial statements.

In 2008, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Other Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

Recent Accounting Pronouncements

In June 2009, the CICA amended Section 3862, "Financial Instruments – Disclosures", to include additional disclosure requirements about fair value measurement for financial instruments and liquidity risk disclosures. These amendments require a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements. The amendments to Section 3862 apply for annual financial statements relating to fiscal years ending after September 30, 2009. The Company has not yet adopted the disclosure requirements of this standard and does not expect them to have a material impact on its financial statements.

Disclosure Controls and Internal Control Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on April 1, 2009 and ended on June 30, 2009 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

In order to meet the requirement of transition to IFRS, the Company has established an enterprise-wide project team and formed a steering committee. The Company's IFRS conversion project plan is comprised of three main phases: initial diagnostic assessment, design, and implementation.

The Company has completed the initial assessment phase of the plan and has identified and documented the key accounting and disclosure differences between Canadian GAAP and IFRS. The detailed assessment of the differences is in progress and the design and development of business process changes to meet the requirements of IFRS have commenced. The Company is also reviewing policy alternatives under IFRS, including certain exemptions and elections available on transition. Changes in accounting policies upon adoption of IFRS are likely, but at this time the Company cannot quantify the impact that the future adoption of IFRS will have on its financial statements and operating performance measures.

Other Matters

On July 28, 2009, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on October 1, 2009 to shareholders of record on September 8, 2009. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, each dividend paid by the Corporation in 2009 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning the impact of the economic downturn on the Company's results, the impact of recently adopted accounting pronouncements and the potential impact of the adoption of IFRS. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general is based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks posed by compliance with extensive government regulation;
- the impact of changes in consumer tastes and buying patterns;

- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks related to the creditworthiness of customers to whom the Company extends credit;
- the impact of international events on commodity prices and the free flow of goods; and
- the risks associated with the Company's outstanding indebtedness.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2008 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

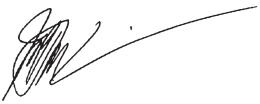
Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,500 people at its operations across North America and in the U.K.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman
July 28, 2009